

The Cigna Group (NYSE: CI)

Health insurance and pharmacy benefits services, currently trading at a discount to peer multiples

June 2026 | Health Insurance & Pharmacy Benefits | Not investment advice

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RATING	CURRENT PRICE	PRICE TARGET	IMPLIED UPSIDE	SECTOR
Buy	\$285	\$319	+12%	Health Insurance

Overview

Cigna is a health services company operating primarily through two segments: pharmacy benefit management and specialty pharmacy services under Evernorth, and employer-sponsored health insurance under Cigna Healthcare. The stock is currently the subject of conflicting analyst opinions. In June 2026, one bank raised its price target to \$400 while another downgraded the stock to Hold and cut its target to \$302.

Evernorth is the larger and faster-growing of the two segments, generating approximately \$58 billion of Cigna's \$68.5 billion in revenue last quarter, roughly five times the size of Cigna Healthcare. Evernorth accounts for most of the company's size and most of the uncertainty in its outlook.

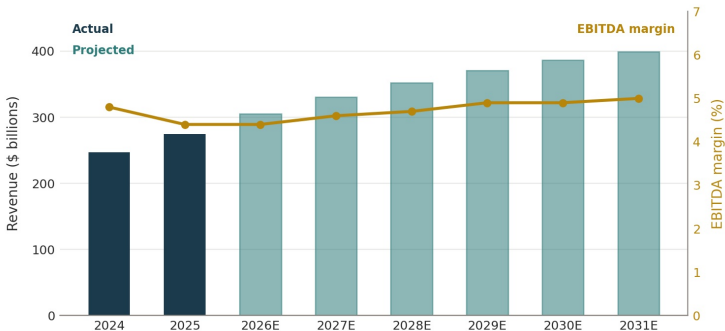


Figure 1. Cigna revenue history and projection, with EBITDA margin shown on the secondary axis. 2024 and 2025 are reported figures; 2026 through 2031 are projections.

Investment Thesis

Three recent developments have drawn a negative market reaction. The case for the stock rests on each of these reactions being overstated relative to the underlying facts.

1. A structural change in pharmacy benefit pricing

Pharmacy benefit managers, including Evernorth, have historically earned revenue partly through manufacturer rebates. This model has drawn criticism for its lack of transparency and inconsistent pass-through of savings to patients. Cigna is transitioning to a rebate-free pricing model, with full implementation expected by 2028 and profitability matching the legacy model by 2029. Deutsche Bank downgraded the stock specifically on the uncertainty this multi-year transition introduces. That assessment does not account for the structural benefit of the new model: once fully scaled, it should be simpler to administer and should support, rather than weaken, margins. The current market reaction treats this transition as risk without acknowledging the offsetting benefit.

2. Divestment of underperforming business lines

Cigna will exit the individual Affordable Care Act exchange market in 2027, affecting approximately 369,000 members, and is reviewing strategic alternatives, including a possible sale, for its eviCore unit, which manages medical procedure approvals. Both decisions reduce Cigna's exposure to lower-margin, higher-complexity business lines. Bank of America removed Cigna from its list of top stock picks around the time these decisions were announced. The more likely outcome is a more focused company, and the market has not yet credited management for removing weaker segments of the business.

3. Valuation discount relative to peers

Cigna trades at a lower price relative to its earnings than its principal peers, despite exceeding consensus estimates on both revenue and earnings per share last quarter and raising full-year guidance.

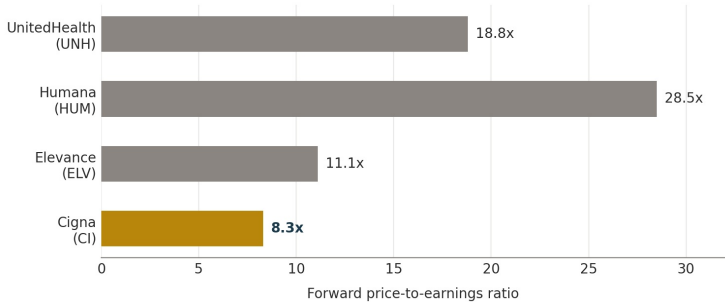


Figure 2. Forward price-to-earnings ratios across publicly traded managed care peers. Humana's elevated multiple reflects temporarily depressed near-term earnings tied to a Medicare Star Ratings

The thesis does not require Cigna to trade in line with UnitedHealth, the largest company in the peer group. A partial narrowing of the valuation gap, combined with underlying earnings growth, is sufficient to support meaningful upside from the current price.

Valuation Methodology

This report uses a discounted cash flow model to estimate intrinsic value. The method projects the cash a business is expected to generate in future years and converts each year's projected cash flow into its present-day value, reflecting the principle that a dollar received in the future is worth less than a dollar received today. The sum of these discounted cash flows, divided by shares outstanding, produces an estimated value per share.

The model projects five years of revenue by segment, with Evernorth and Cigna Healthcare modeled separately given their differing scale and growth trajectories. Free cash flow is calculated using Cigna's historical ratio of free cash flow to EBITDA, rather than a bottom-up estimate of taxes, capital expenditures, and working capital, in order to anchor the projection to a verified historical relationship. The model applies a discount rate of approximately 7.9 percent, reflecting the company's cost of capital and capital structure. The resulting estimate is approximately \$319 per share, compared to a current price of \$285, implying upside of approximately 12 percent. This estimate sits modestly below the average Wall Street analyst target of approximately \$341.

What Would Change This View

- **Membership decline.** Cigna's customer base has reportedly declined by close to 10 percent over the past year. Continued attrition at this pace would offset the margin benefits expected from the pricing transition described above.
- **Employer disputes over drug coverage.** Cigna recently removed coverage for GLP-1 weight loss medications, including Wegovy and Zepbound, from its own employee health plan, effective July 2026. This may signal more difficult coverage negotiations with employer clients going forward.
- **Leverage.** Cigna carries approximately \$31 billion in total debt, which constrains financial flexibility if medical cost trends continue to outpace expectations.
- **Execution risk on the pricing transition.** Two separate analyst downgrades cited timeline uncertainty around the rebate-free pricing model. This is a legitimate risk to the thesis and should be monitored each quarter.

Peer Comparison

Company	Stock Price	Forward P/E	Analyst Target
UnitedHealth Group (UNH)	\$354.92	18.8x	—
Humana (HUM)	\$379.22	28.5x	\$301.63
Elevance Health (ELV)	\$401.07	11.1x	\$411.29
The Cigna Group (CI)	\$285.43	8.3x	\$340.92

Catalysts to Monitor

Four developments will indicate whether this thesis is on track. Cigna's next earnings report, expected in late July 2026, should provide an initial read on whether medical cost trends are stabilizing in line with management guidance. A resolution on the eviCore strategic review, particularly a sale, would convert an open question into a defined outcome. Completion of the ACA exchange exit in 2027 should appear in the financials as a margin improvement once fully realized. Continued management commentary on the pace of the pharmacy benefit pricing transition will indicate whether the 2028 timeline remains intact.

Conclusion

Cigna is a large, diversified health services company in the middle of a multi-year transition that the market has priced more negatively than the underlying facts support. A pricing model overhaul in its largest segment, two divestments of lower-margin business lines, and a valuation discount relative to peers each point toward the same conclusion: the market is currently assigning a below-average valuation to an above-average business in the process of improving its overall quality.